

Finance and Legal Subdocument

AIESEC in Pakistan

National Compendium

Table of Contents

1	Financial Distribution Model Definition	3
2	AIESEC in Pakistan's Financial Distribution Model	3
3	Product Pricing	7
4	Accounting	7
5	Budget Control	8
6	Reimbursement Policies	9
7	Entity Finance Board	14
8	Internal Audit for MC and LCs	17
9	Legal Document Maintenance	
10	Investment Policies	17
11	External Audit Policies	
12	Reserve Policies	19
13	Cash Management Policies	19
14	AIESEC in Pakistan Bank Account Signatory Policies and Timeline	20
15	AIESEC in Pakistan Legal Registration Policies and Timeline	20
16	Board of Governor's Role	21
17	Financial Reporting	21
18	Penalties	21
19	ANNEXURE	22

1. Financial Distribution Model Definition

- 1.1. A financial distribution model explains the methodology of the collection of affiliation fees which is charged from the Local Committees to maintain their membership status. It includes the division of the exchange revenues coming in between the Member Committee & Local Committees and the distribution of fixed affiliation fees among the Local Committees.
- 1.2. Throughout the document, the term "entity" will only be used to describe matters that concern both the MC and the LC.

2. AIESEC in Pakistan's Financial Distribution Model

- 2.1. AIESEC in Pakistan's financial distribution model is a hybrid model which is a merger of royalty fee model & fixed affiliation fee model.
 - 2.1.1. Fixed Affiliation Fee Model:
 - 2.1.1.1. Following are the critical costs that are to be covered through the fixed affiliation fee:
 - 2.1.1.1.1. Legal/Trademark Registration Cost of entity
 - 2.1.1.1.2. Audit Cost of entity
 - 2.1.1.1.3. MCP Salary
 - 2.1.1.1.4. MCVP Finance Salary
 - 2.1.1.1.5. MCVP Membership Experience Salary
 - 2.1.1.1.6. AI Fee
 - 2.1.1.1.7. Registered Office Cost
 - 2.1.1.2. The amount of above mentioned costs shall be ratified in a legislative meeting before the month of July every year.
 - 2.1.1.3. The account heads associated with the critical costs can be reduced in case the MCVP Finance assesses that the year under consideration had no favourable cash inflows.
 - 2.1.1.4. The metrics to distribute the LC affiliation fee among the LCs are mentioned below:
 - 2.1.1.4.1. If LCs total earning of the previous year is greater than the defined critical cost, the following metrics for distribution will be used:
 - 2.1.1.4.1.1. 75% Profit (Exchange + BD)
 - 2.1.1.4.1.2. 25% Equity

- 2.1.1.4.2. If LCs total earning of the previous year is less than the defined critical cost, the following metrics for distribution will be used:
- 2.1.1.4.2.1. 25% Profit (Exchange + BD)
 - 2.1.1.4.2.2. 75% Equity
- 2.1.1.5. Following is the definition of (Product (Exchange + BD) metric:
- 2.1.1.5.1. Exchange Profit refers to the profit amount that LCs have earned after paying off the royalty fee to the MC for exchange products
 - 2.1.1.5.2. BD Profit refers to the profit amount that LCs have earned through sponsorships and raises. It will be calculated as following:
 - 2.1.1.5.2.1. In case of BD raises for national/local conferences/events, we will first subtract project management revenues from project management costs, then the remaining costs will be subtracted from BD revenue.
 - 2.1.1.5.2.2. In case all costs are covered through project management revenue, then the whole BD raise will be considered as BD profit.
 - 2.1.1.5.2.3. If the conference/event has gone in loss, it means BD profits are zero.
 - 2.1.1.5.2.4. In case of a BD raise that isn't related to any project management event, the whole amount will be considered as a profit.
- 2.1.1.6. Based on the profit and equity data of the LCs, every LC shall have a calculated percentile value i.e. one value for its equity and the other value for profit. This will be dependent on the relative performance of the LCs.
- 2.1.1.7. The final value for each LC will be determined according to the clause 2.1.1.4 by putting in equity & profit percentile values for each LC.
- 2.1.1.8. The mean and standard deviation value will be calculated by taking the final values of LCs as inputs using the following formula:

$$\sigma = \sqrt{\frac{\sum (x_i - \mu)^2}{N}}$$

σ = population standard deviation

N = the size of the population

x_i = each value from the population

μ = the population mean

- 2.1.1.9. The Local Committees shall be distributed into the tiers based on the following criteria:

- 2.1.1.9.1. Tier one would include those LCs which are positive outliers i.e. their score is greater than the sum of mean and standard deviation.
- 2.1.1.9.2. Tier two would include those LCs which are above mean but below the upper outlier cut i.e. their score is greater than the sum of mean but lesser than the sum of mean & standard deviation.
- 2.1.1.9.3. Tier three would include those LCs which are below mean but above the lower outlier cut i.e. their score is greater than the difference of mean & standard deviation but lesser than the mean.
- 2.1.1.9.4. Tier four would include those LCs which are negative outliers i.e. their score is lesser than the difference of mean & standard deviation.
- 2.1.1.10. Once all LCs are put into tiers, there would be a percentage assigned to every tier. This percentage will decide the amount of affiliation fee that the tier will be contributing. This percentage will be revised every year based on how the LCs are divided into tiers for that year.
- 2.1.1.11. The tiers will be ratified every year before the month of July.
- 2.1.1.12. In every tier, the cost will be further divided based on the following:
 - 2.1.1.12.1. In case of 75% profit & 25% equity metrics, the distribution will be done on profit basis i.e. the amount of affiliation fee contribution of the tier multiplied by (LC profit divided by sum of LC profits in that tier).
 - 2.1.1.12.2. In case of 75% equity & 25% profit metrics, the distribution will be done on equity basis i.e. the amount of affiliation fee contribution of the tier multiplied by (LC equity divided by sum of LC equity in that tier).
- 2.1.1.13. The affiliation fee will be sent to the LCs in form of two invoices, each to be paid before the membership criteria review. First invoice shall be for the duration of July-December while the second invoice shall be for the duration of Jan-June of each fiscal year.
- 2.1.1.14. The critical costs will be revised semi-annually so that in case of any adjustments in critical costs, it is reflected in the upcoming invoice of affiliation fee.
- 2.1.1.15. The time period for assessing the profits will be July-June of the previous fiscal year.
- 2.1.2. Royalty Fee Affiliation:
 - 2.1.2.1. Following is the royalty fee defined for OGV:
 - 2.1.2.1.1. 40% Royalty fee to MC for exchanges from 1- 30 i.e. 9,600 PKR

- 2.1.2.1.2. 45% Royalty fee to MC for exchanges from 31- 80 i.e. 10,800 PKR
- 2.1.2.1.3. 50% Royalty fee to MC for exchanges from 81-200 i.e 12,000 PKR
- 2.1.2.1.4. 55% Royalty fee to MC for exchanges from 201 to infinity i.e 13,200 PKR
- 2.1.2.2. Following is the royalty fee defined for OGTa/e:
 - 2.1.2.2.1. 40% Royalty fee to MC for exchanges from 1- 10 i.e. 12,000 PKR Short Term, 16,000 Mid-Term, 20,000 PKR for Long Term
 - 2.1.2.2.2. 45% Royalty fee to MC for exchanges from 11- 25 i.e. 13,500 PKR for Short Term, 18,000 PKR for Mid-Term, 22,500 PKR for Long Term
 - 2.1.2.2.3. 50% Royalty fee to MC for exchanges from 26-50 i.e 15,000 PKR for Short Term, 20,000 PKR for Mid-Term, 25,000 for Long Term
 - 2.1.2.2.4. 55% Royalty fee to MC for exchanges from 51 to infinity i.e 16,500 PKR for Short Term, 22,000 PKR for Mid-Term, 27,500 PKR for Long-Term
- 2.1.2.3. Following is the royalty fee defined for IGTa/e:
 - 2.1.2.3.1. MC will charge a 10,000 PKR royalty fee for all incoming short term opportunities
 - 2.1.2.3.2. MC will charge a 20,000 PKR royalty fee for all incoming mid-long term opportunities.
- 2.1.2.4. Following is the royalty fee defined for Incoming ICX:
 - 2.1.2.4.1. PKR:10,000 Royalty Fee to MC for short term opportunity.
 - 2.2.2.5.2. PKR: 20,000 Royalty Fee for Medium and Long term opportunity.
- 2.2. In case of any amendments to the affiliation model review, the amendments shall be discussed with Supervisory Group (SG) & SG's approval will be required before it is ratified in the legislative meeting.

3. Product Pricing

- 3.1. **Incoming Exchange:** The Administrative fee for the Incoming Exchange Program, per traineeship, are fixed as follows:
 - 3.1.1. **Global Talent/ Teacher Mid-Long-Term Opportunities:**
 - 3.1.1.1. Rs.40,000 at the time of realization of Exchange Participant.

3.1.2. **Global Talent/ Teacher Short Term Opportunities:**

- 3.1.2.1. The administrative fee for short term incoming opportunities is Rs.20,000 at the time of realization.

3.2. Outgoing Exchange

3.2.1. **Global Talent**

- 3.2.1.1. Rs. 30,000 on approving the EP for short term opportunity
 3.2.1.2. Rs. 40,000 on approving the EP for mid term opportunity
 3.2.1.3. Rs. 50,000 on approving the EP for long term opportunity

3.2.2. **Global Teacher**

- 3.2.2.1. Rs. 30,000 on approving the EP for short term opportunity
 3.2.2.2. Rs. 40,000 on approving the EP for mid term opportunity
 3.2.2.3. Rs. 50,000 on approving the EP for long term opportunity

3.2.3. **Global Volunteer**

- 3.2.3.1. Rs. 24,000 on approving the EP

- 3.3. Any member who has held a leadership position within the organization for a period or one year shall pay only 50% of the Outgoing Exchange Fee. Any member who has been on the AIESEC in Pakistan Member Committee or on an Executive Board member of one of the committees or official expansions under AIESEC in Pakistan and has successfully been discharged from the same shall pay no Outgoing Exchange Fee.

4. Accounting

- 4.1. All Local Committees are required to follow the accrual basis of accounting as the standard accounting method.
 4.2. All Local Committees are required to follow the same accounting software downscaled by the MC.
 4.3. Maintenance of the accounting entries on our financial software (Wave) is required for the LCs at least on a monthly basis.
 4.4. Entity Finance Board will be responsible to supervise the LC wave accounts and have the right to inquire about any account transaction mentioned in their wave.
 4.5. All LCs are required to follow the standard chart of accounts downscaled by the GFB.
 4.6. LCs can have custom/sub account heads only if advised by the MCVP Finance.

5. Budget Control

5.1. LC Budget

- 5.1.1. Local Committees are required to use the standard budgeting tool downscaled to them by the MCVP Finance.
- 5.1.2. Local Committees are required to submit their budget to the MCVP Finance & EFB before the beginning of an LC term.
- 5.1.3. Local Committees are required to get their budget ratified by the MC and resolve any issues present before the beginning of their LC term.
- 5.1.4. All Local Committees are required to present their budget before the beginning of their LC term & get it ratified by the general body of the local committee on the First GBM of the Term , not late than 12th February.
 - 5.1.4.1. In case an extension is required , an official email will be sent to the MCP and MCVP Finance , the maximum allowed extension will have to fall in February. Change or further extension can be allowed by MCVP FnL and MCP .
- 5.1.5. The maximum allowed variance from the costs budget is 10% for each quarter.
 - 5.1.5.1. In case an LC requires an amount which may surpass the maximum allowed variance, the LCVP Finance will notify the MCVP Finance upon which the request will be either granted or rejected.
- 5.1.6. For any bank or cash transaction above 150,000, the LCVP Finance would be required to notify the MCVP Finance via email.

5.2. MC Budget

- 5.2.1. Member Committee is required to submit & ratify their budget by the SG before the beginning of an MC term.
- 5.2.2. The ratification email from the SG will be sent to the national plenary before the budget is presented in front of the national plenary in a legislative meeting
- 5.2.3. Member Committee is required to submit & ratify their budget by the National Plenary before the beginning of an MC term.
- 5.2.4. In case the Supervisory Group does not ratify the budget, the MC is required to present a second budget within a span of ten days which should be ratified again by the SG before the term begins.
- 5.2.5. In case the National Plenary does not ratify the budget, the MC is required to present a second budget within a span of ten days which should be ratified again by the National Plenary within the first fourteen days of the beginning of the MC term.
- 5.2.6. The maximum allowed variance for the MC is 10%
- 5.2.7. If an MC requires more funds which may surpass the allowed variance, it has to request the SG to approve the funds.

- 5.2.8. If the budget is not presented by the end of July, The MCP will email the national plenary and inform them about the delay in the budget
- 5.2.9. The Finance Sub-committee Chair will present the budget in synergy with MCVP FnL
- 5.2.10. If by August, the budget is not presented due to any delays, a mandate will be charged to the Member Committee
- 5.2.11. The MCP can call extraordinary legislation for Budget Ratification by giving 5 Day's notice instead of 10 as stated otherwise

5.3. Re-Approvals

- 5.3.1. The ECB will be required to break the first approval of the exchange participant before allowing the LC to re-approve the EP.
- 5.3.2. No LC is allowed to do a re-approval of any exchange participant on its own if the approval-break request of the previous approved application is not accepted by ECB.
 - 5.3.2.1. Once the approval has been broken, the LC is allowed to approve the EP for another application.
 - 5.3.2.2. In case of any extraordinary circumstance where the process is being delayed, the LC can request the ECB to re-approve the EP without breaking the first approval. The ECB has to either accept or reject the request within 3 days.

6. Reimbursement Policies

- 6.1. **General Principles for Exchange Refund:**
 - 6.1.1. Any approval that has happened before February 2020 is subject to the current AEPP rules regarding refunds.
 - 6.1.2. If there is no proof of payment for approval, a refund will not be issued.
 - 6.1.3. For approvals between February 2020 - October 2021, there will be a 50% refund policy as stated in the contract, which mentions the refund policy mentioned in the AEPP.
 - 6.1.4. For approvals after October 2021; the 50% refund situation will be shifted to a 100% refund.
- 6.2. **Non Refundable Guidelines:** AIESEC is not liable to refund any fees in the following situations:
 - 6.2.1. If the Exchange Participant voluntarily leaves the program for any reason.
 - 6.2.2. If the Exchange Participant does not communicate or respond to any of the Local Committee's communication in a timely manner.
 - 6.2.3. If the Exchange Participant chooses to withdraw from the program at any time due to personal, family or other reasons.
 - 6.2.4. If the Exchange Participant has not fulfilled any of his/her responsibilities listed above and in the AEPP (AIESEC Exchange Program Policies).
 - 6.2.5. If the contract has been terminated prior to its date of expiry under the

provisions of the section "Termination of Contract".

- 6.2.6. The Break-Match is valid when it is due to reasons not under the control of AIESEC or the EP.
- 6.2.7. The Break-Realization is valid when it is due to reasons not under the control of AIESEC or the EP, when war, terrorism movements, natural calamity, epidemic outbreak or pandemic or other severe social disturbance take place in the destination city/country. AIESEC shall not be responsible but will help the EP to coordinate with the hosting Local Committee to set up new arrangements and ensure the security of EP.
- 6.2.8. If any major and serious emergency occurs, EP can decide to finish the internship and return to home country upon obtaining prior written permission from the host organization and AIESEC, however, no refund will be made.

6.3. Refund Guidelines:

- 6.3.1. Refund will be offered in case an EP breaks an approval match under criteria acceptable by AIESEC Exchange Program Policies (AEPP).
 - 6.3.1.1. The EP has not received all necessary documents required for application for visa/work permit from the hosting LC (including invitation) within two (2) weeks from the approval date, which has resulted in the EP not being able to commence with the exchange; or the EP was not informed of the timeline for the provision of any required documents. If EP and HE agree on still RE, HE pays for any Compensation for tickets rescheduling, documents etc.
- 6.3.2. Refunds are only allowed on the receipts proving the expenses have occurred.
- 6.3.3. If the OP fails to qualify as an OP after the approval is done and no replacement OP with the same Job Description is found within 2 weeks for the same realization dates.
- 6.3.4. If the Approval is cancelled by the HE/OP and no replacement OP with the same Job Description is found within 2 weeks for the same realization dates.
- 6.3.5. If the AEPP clauses are violated by the Sending or the Host Entity, intentionally or unintentionally.
- 6.3.6. The EP may be put in danger due to the COVID-19 ISSUE but only the following conditions apply with the submission of necessary proofs:
 - 6.3.6.1. The APD Exchange Participant can go on exchange with AIESEC during winter cycle 2020 or summer cycle 2021 without paying the fees again.
 - 6.3.6.2. 100% refund to Exchange Participants who cannot go on exchange with AIESEC in the future for the following reasons.

- 6.3.6.3. At the time of approval, the EP was in his/her final year and will graduate before winter'20 or summer'21.
- 6.3.6.4. The EP's university schedule has changed and winter'20 or summer'21 realization dates clash with their class or exam schedules.
- 6.3.6.5. In case a situation arises other than the scenarios mentioned above it is upon the discretion of the VP Finance of the sending entity to refund the EP or not.

7. Entity Finance Board (EFB)

7.1. Definition of EFB:

Entity Finance Board (a.k.a EFB) is an entity body with the purpose of supporting the Member Committees in institutionalizing financial processes and training of more and better Financiers across the National Networks. EFB is responsible for the consistency, accuracy, transparency, completeness, accountability & efficiency of the Financial Processes inside the entity.

7.2. Responsibilities

The EFB will cover the following responsibilities:

- 7.2.1. **Data Controlling:**
Obtain the financial data from Local Committees, budget execution in costs and revenues, balance sheet, cash flow statements and finance standards implementation.
- 7.2.2. **Consolidation & Reporting:**
Analyze and process the data obtained by Local Committees to create reports, monitoring systems and/or dashboards that can see the current financial state of each Committee.
- 7.2.3. **Technical Support in Accounting:**
To be in charge of the development of the network providing educational cycles related, regular consultancy spaces, guidelines for accounting, checking the implementation of the accounting principles and facilitating working times if necessary.
- 7.2.4. **Audit & Compliance of Legal & Policies:**
To prepare and implement the audit frameworks, give education related to the correct implementation of the process to be audited and regular consultancy spaces, give monthly results about the audit done and provide reports to the plenary.
- 7.2.5. **Risk Assessment & Management Support:**
To support in the creation of an entity risk matrix, the procedures involved and the education of the same .

- 7.2.6. **Annual Pricing Report:**
The Entity Finance Board will be responsible for reviewing the product pricing list at least once a year and releasing the report to the national plenary. The report will consist of but will not be limited to the Entity cost analysis, PPP (Purchasing Power Parity), CPI (consumer price index), and survey for customer's pricing acceptance to LCs.
- 7.2.7. **Bi-Annual Reconciliation:**
The Entity Finance Board chair will be responsible for the bi-annual reconciliation of the Local Committees, ensuring that alignment of data is maintained. The reconciliation will also cover the receivables and liabilities of the LCs.
- 7.2.8. **Reserve Maintenance:**
The Entity Finance Board will be responsible for the cross verification of the and reserve(restrictive) funds of the LCs and the MC, ensuring that right amount is being reported as well as the revenue allocation is aligned.

7.3. Knowledge and skills

- 7.3.1. The EFB will aim to develop the following knowledge and skills for the entity:
- 7.3.1.1. Financial management and analysis: Analyze the financial data provided by Local Committees and provide resources, tools and any kind of useful materials for the National Network
 - 7.3.1.2. Decision-making assistance and critical thinking through data analysis: Participate in National decisions making related with Finance, participate in National Plenaries and work in synergy with Member Committees and/or Financial Subcommittees in mandates.
 - 7.3.1.3. Overall risk management & assessment of each entity: Know-how of risk management and do constant assessment to identify any kind of risks that the Local Committees has and provide recommendations to them.
 - 7.3.1.4. Audit for legal and finance: To build trust in the organization and entity by reporting and ensuring the accuracy of the balances.
 - 7.3.1.5. Time Management as a financier: Understanding the local and national timeline for the finance department and how to handle different DDLs inside AIESEC but also outside.
 - 7.3.1.6. Legal Management assistance and compliance: Specialize more in the legal management, national policies and other laws related to the organization, to ensure the sustainability and transparency of the entity.

- 7.3.1.7. Research Methodologies: to choose and conduct the research with different tools and techniques.
- 7.3.1.8. Financial Information management (ideal: + Programming): To create and use financial tools to analyze the data.
- 7.3.1.9. Financial Accounting & Reporting: To review the accounting of the local committees and elaborate reports based on that research.
- 7.3.1.10. Financial Analysis: Understand and analyse the financial statements of the entity such as Income Statement, Cash Flow Statement and Balance Sheet.
- 7.3.1.11. Finance Consistency: Ensure that every accounting year entity is using the same accounting principles, methods, practices and procedures.
- 7.3.1.12. Excel/spreadsheet manipulation and presentation: Excellent knowledge of excel and visualization of data.
- 7.3.1.13. Communication skills especially on financial matters (Capable of Presenting in Simple Words).

7.4. EFB Structure

7.4.1. Generalities

- 7.4.1.1. The number of team members and structure inside the EFB team are defined by the EFB Chair for each upcoming term, taking in consideration the recommendations of the GFB team in place, the MCP or MC EFB Responsible for its term.

7.4.2. EFB Chair

- 7.4.2.1. The EFB Chair is the final responsible of the board direction and implementation in the Entity.
- 7.4.2.2. The EFB Chair represents the board in national legislation meetings by reporting the progress of the board and contributing to discussions related to the purpose of EFB.
- 7.4.2.3. EFB Chair is responsible for:
 - 7.4.2.3.1. Design EFB structure, systems and responsibilities
 - 7.4.2.3.2. Team management and Project Management
 - 7.4.2.3.3. Ensure standardization of financial data controlling, reporting and audit processes
 - 7.4.2.3.4. Oversee, supervise, feedback and track strategic progress under the EFB direction.
- 7.4.2.4. EFB Chair role term position should last preferably 12 months, following the MC timeline - with a minimum duration of 6 months.
- 7.4.2.5. The EFB Chair cannot have another role in any LC and or MC during the term.
- 7.4.2.6. The EFB Chair will be a Facilitator of all national conferences with the MC and will be responsible for delivering sessions regarding EFB reports, education and internal control to the

national plenary.

7.4.3. EFB members

7.4.3.1. The profile of team members shall include current and or former AIESEC members.

7.4.3.2. EFB members can have other roles in AIESEC, except current MC, GFB, ECB and ICB roles.

7.5. EFB selection process

7.5.1. EFB Chair selection process

7.5.1.1. The EFB application shall be opened at least 2 months before the beginning of the new EFB term.

7.5.1.2. The application shall be approved by the MCP & MCVP Finance before it is launched.

7.5.1.3. In case of a year position the Chair should be selected and presented by July 1st.

7.5.1.4. For 6 months positions, the first chair should also be selected and presented until July 1st, and the second before January 1st.

7.5.1.5. EFB Chair applicants are required to get a vote of confidence from the voting body.

7.5.1.6. As a last stage of the selection process, all applicants will be required to pass the final interview stage having a panel of the following individuals:

7.5.1.6.1. MCVP Finance

7.5.1.6.2. MCP

7.5.1.6.3. Representative from SG

7.5.1.6.4. Representative from the GFB (not compulsory but recommended)

7.5.1.7. The final decision of selection lies with the MCP & MCVP Finance.

7.5.2. EFB members selection process:

7.5.2.1. As soon as the chair is announced, the EFB Chair shall open applications for EFB members.

7.5.2.2. The selection shall be conducted by the EFB Chair and at least one MC member, LCP or GFB representative, where they give recommendations regarding candidates, while the EFB Chair takes the final decision.

7.6. Resignation processes

7.6.1. For chairs resignation, the chair will email his/her resignation to the current MCP, MC Responsible and GFB Chair.

7.6.2. For members resignation, the member shall email the resignation to the current EFB Chair and the MC Responsible.

- 7.6.3. If members of EFB resign, the board still remains effective and is able to arbitrate cases, as long as there is at least one active member remaining.
- 7.6.4. If the chair resigns, the MC shall select an interim chair from within EFB membership and/or an application shall be reopened.

7.7. Dismissal processes

- 7.7.1. The dismissal of an EFB Chair can only be processed under an agreement between the MCP of the entity and the GFB Chair in mandate.
- 7.7.2. Both GFB Chair and MCP need to agree with the dismissal, based on the proofs analyzed.
- 7.7.3. If the GFB Chair and MCP cannot reach an agreement related to the dismissal of the EFB Chair, the final responsible to evaluate the case and confirm the dismissal is the Global Ethics Subcommittee Chair.
- 7.7.4. Every dismissal must be formalized by email with the EFB Chair, GFB Chair, MC EFB Responsible and MCP on copy.
- 7.7.5. MCP, MCR, GFB and EFB chair must be aware of the dismissal before the official email.
- 7.7.6. The email should include at least:
 - 7.7.6.1. Reasons for dismissal, based on proofs
 - 7.7.6.2. Timeline of selection process for the next EFB Chair.
 - 7.7.6.3. Name and contact of the EFB Chair interim.
- 7.7.7. The EFB Chair can be dismissed by MCP and the GFB Chair under the following circumstances:
 - 7.7.7.1. Use of any tool, account or platform of EFB or MC for local entity benefit (proof required).
 - 7.7.7.2. Leak of any customer personal data and/or financial information (proof required).
 - 7.7.7.3. Act in the name of any GFB member (proof required).
 - 7.7.7.4. Falsifying financial information at any level (proof required).
 - 7.7.7.5. Falsifying document and/or results during audit processes (proof required).
 - 7.7.7.6. Neglect the role for more than 3 weeks without valid justification (proof required).

8. Internal Audit policies for MC and LCs

8.1. MC Audit:

- 8.1.1.1. MCVP Finance is required to submit MC's financial data on quarterly basis to the Entity Finance Board.
- 8.1.1.2. The financial data will be audited by the EFB Chair and an independent report will be shared every quarter with the national plenary on the

transparency & accuracy of financial data by the EFB Chair and Finance Subcommittee Chair.

8.1.1.3. The EFB Chair will make the following audit assertions for the MC's data:

8.1.1.3.1. **Transaction-level assertions:** The following five items are classified as assertions related to transactions, mostly in regard to the income statement:

8.1.1.3.1.1. **Accuracy:** The assertion is that the full amounts of all transactions were recorded, without error.

8.1.1.3.1.2. **Classification:** The assertion is that all transactions have been recorded within the correct accounts in the general ledger.

8.1.1.3.1.3. **Completeness:** The assertion is that all business events to which the company was subjected were recorded.

8.1.1.3.1.4. **Cutoff:** The assertion is that all transactions were recorded within the correct reporting period.

8.1.1.3.1.5. **Occurrence:** The assertion is that recorded business transactions actually took place.

8.1.1.3.2. **Account Balance Assertions:** The following four items are classified as assertions related to the ending balances in accounts, and so relate primarily to the balance sheet:

8.1.1.3.2.1. **Completeness:** The assertion is that all reported asset, liability, and equity balances have been fully reported.

8.1.1.3.2.2. **Existence:** The assertion is that all account balances exist for assets, liabilities, and equity.

8.1.1.3.2.3. **Rights and Obligations:** The assertion is that the entity has the rights to the assets it owns and is obligated under its reported liabilities.

8.1.1.3.2.4. **Valuation:** The assertion is that all asset, liability, and equity balances have been recorded at their proper valuations.

8.1.1.3.3. **Presentation and Disclosure assertions:** The following five items are classified as assertions related to the presentation of information within the financial statements, as well as the accompanying disclosures:

- 8.1.1.3.3.1. **Accuracy:** The assertion is that all information disclosed is in the correct amounts, and which reflect their proper values.
- 8.1.1.3.3.2. **Completeness:** The assertion is that all transactions that should be disclosed have been disclosed.
- 8.1.1.3.3.3. **Occurrence:** The assertion is that disclosed transactions have indeed occurred.
- 8.1.1.3.3.4. **Rights and Obligations:** The assertion is that disclosed rights and obligations actually relate to the reporting entity.
- 8.1.1.3.3.5. **Understandability:** The assertion is that the information included in the financial statements has been appropriately presented and is clearly understandable.
- 8.1.1.4. The MCVP Finance will be required to submit the data within the first fifteen days of the month following the ending of the quarter.
- 8.1.1.5. The EFB Chair will be required to audit the financial data of MC in twenty-one days after the MCVP Finance has submitted the data and email a report to the national plenary.
- 8.1.1.6. In case, the MCVP Finance is unable to submit the audit within the deadline, an extension of 15 more days will be granted to the MCVP Finance to submit the data.
- 8.1.1.7. If the audit has still not been provided by MCVP, the EFB Chair will report it to the SG and the MC will not be allowed to utilize any of its assets until the audit has been submitted to the EFB.
- 8.1.1.8. A margin of 5% of error is provided for the MC to pass the audit check.
- 8.1.1.9. If the EFB Chair concludes that the MC has failed the audit, the SG will write a detailed report by the EFB Chair. An investigation shall be carried out by the SG where the MCP & MCVP Finance will be representing the MC.
- 8.1.1.10. The SG will be required to conclude the investigation within 21 days and present a plan of action to the national plenary.

8.1.2. LC Audit:

- 8.1.2.1. LCs are required to submit their financial data every month to the MCVP F & EFB.
- 8.1.2.2. The MCVP along with EFB can inquire any kind of financial information which is relevant to the audit of the LC.
- 8.1.2.3. The LCs will be required to pass the audit every month which will be conducted by the EFB.
- 8.1.2.4. The deadline to submit the audit documents will be the 9th of every month.

- 8.1.2.5. The EFB will conclude the audit for every LC within the remaining days of the month and report it back to the LC & MCVP Finance.
- 8.1.2.6. In case an LC fails to submit the audit documents on time, the LC will be given seven more days to submit the audit documents.
- 8.1.2.7. In case of an LC still not submitting the audit, a fine of 25,000 PKR will be levied on the LC and the amount shall be added in Funds.
- 8.1.2.8. In case an LC fails to submit two audit submissions, the MC will have the right to freeze the assets of the LC.
- 8.1.2.9. An LC will have to justify at least 95% of its transactions to pass the audit. Failure to do so may lead to a fine of 10,000 PKR.
- 8.1.2.10. If an LC feels that the EFB has not conducted the audit fairly, it can submit a complaint to the MC upon which MCVP Finance will be reviewing the case of the LC.
- 8.1.2.11. The Entity Finance Board will also look out for but will not be limited to the following proofs for the respective operations:
 - 8.1.2.11.1. Exchange:
 - 8.1.2.11.1.1. Customer Invoice
 - 8.1.2.11.1.2. Transactional Proof
 - 8.1.2.11.1.3. Royalty Invoice
 - 8.1.2.11.2. Business Development:
 - 8.1.2.11.2.1. MoUs with respective partners
 - 8.1.2.11.2.2. Transactional Proof
 - 8.1.2.11.3. Expense Transactions:
 - 8.1.2.11.3.1. Invoice or Receipt with a proper header
 - 8.1.2.11.3.2. Payment/transaction proof
 - 8.1.2.11.3.3. Cash voucher for cash payments

9. **Legal Documents Maintenance**

- 9.1. The MCVP FnL will be responsible for reviewing and updating all legal documents on a semester basis which include but are not limited to Outgoing Global Exchange contracts, Incoming exchange contracts, memorandum of understanding contracts, all membership contracts, which include member contracts, executive board contracts and the member committee contracts.
- 9.2. The MCVP FnL will be required to attest the above-mentioned documents by the organisational lawyer on a semesterly basis and shared with the national plenary.
- 9.3. The LCs will be responsible for using only the updated documents, and if found using documents which are before the last update will result in direct violation.

10. **Investment Policies:**

- 10.1. The entity (LCs and MC) will be required to maintain two respective funds that are restrictive and unrestrictive funds from their respective equity.
- 10.2. A **restricted fund** is a reserve fund that acts as the financial reserves of the LCs and MC.
- 10.3. Unrestricted Funds are the funds that the LCs and the MC can use on their operations.
- 10.4. **Reserve Creation**

- 10.4.1. All LCs and the MC must allocate 10% of their equity towards their respective reserve (restrictive) funds.
- 10.4.2. The allocation of the reserve(restrictive) fund of the LCs and the MC must reflect in their respective accounting books.
- 10.4.3. The allocation of the reserve will be aligned with the chart of accounts as downscaled by the MCVP FnL. An example of the chart of accounts applicable for reserve allocation are:
 - 10.4.3.1. For the LC: LC | Long-Term Assets (Reserves)
 - 10.4.3.2. For the MC: MCI Long-Term Assets (Reserves)
- 10.4.4. The LCs and the MC will be responsible for allocating a portion of their monthly revenue towards the reserve (unrestricted) fund.
- 10.4.5. The allocation of revenue will be as follows:
 - 10.4.5.1. All LCs will start by allocating 10% of their equity towards their reserves. 2.5.2. The monthly revenue allocation will start at 8% of their monthly revenue. 2.5.3. The percentage of revenue allocation will increase by 1.5% on an annual basis.
 - 10.4.5.2. For example, if an LC is allocating 8% of their monthly revenue in the year 20NX, then they will be responsible for allocating 9.5% of their monthly revenue in the year 20NX+1 and so forth.
 - 10.4.5.3. The monthly revenue allocation will only increase up to 15% of the monthly revenue. At that limit, the monthly revenue allocation will remain constant in the following years to come.
 - 10.4.5.4. The revenue allocation must be reflected in the LCs and the MC's accounting books.
 - 10.4.5.5. The Entity Finance Board will be responsible for cross-verification of the reserve maintenance in the accounting books of the LC and the MC.
- 10.5. **Restrictive Fund Utilization:**
 - 10.5.1. All LCs will be required to get approval for the utilisation of their reserve (restrictive) funds from the MCVP FnL.
 - 10.5.2. For the MC, the MCVP FnL will be required to get approval from the supervisory group for the utilisation of the reserve(restrictive) fund and must share the respective approval with the national plenary.
 - 10.5.3. The LCs and the MC are required to maintain reserve(restrictive) funds worth 8 MoCR (months of cash reserves) before they can make investments from the fund.
 - 10.5.4. For LCs and the MC making the investments will be required to create an executive committee which will be responsible for:
 - 10.5.5. Research and analysis of the general trends of investment being made.
 - 10.5.5.1. Creation of the investment plan.
 - 10.5.5.2. Creation of the risk report on the investment.
 - 10.5.5.3. Creation of the ROI plan for the investment.

- 10.5.5.4. Presentation of the investment proposal.
- 10.5.5.5. Maintenance and regular check and balance of the investment providing monthly updates on the investment.
- 10.5.6. For the Executive committee created by the MC, the investment updates must be shared with the national plenary and the supervisory group.
- 10.6. The investments will be in accordance with the guidelines of the government of Pakistan with respect to the limitations on investments that NPOs (not-for-profit organisations) can make.

11. External Audit policies

- 11.1. The external audit for any fiscal year will be required to be done within two months after the ending of that fiscal year.
- 11.2. Failure to do so may automatically lead to cancellation of LLC of the MCVP Finance.
- 11.3. In case an extension is required, the MCVP Finance will be required to submit a request to the SG which may either be approved or rejected and will keep the national plenary in loop throughout the process.

12. Reserve policies

- 12.1. **Type of reserves:** AIESEC in Pakistan will maintain reserves for unexpected and uncertain outcomes which will be filled on a priority basis in the following order:
 - 12.1.1. Emergency Reserve
 - 12.1.2. Research and Development Reserve
- 12.2. **Emergency Reserve:** This reserve is specifically for unexpected and uncertain events that may occur such as natural disasters or any other matters of unprecedented nature.
 - 12.2.1. The total amount to be maintained in the emergency reserve is PKR 1,000,000 only at all times.
 - 12.2.2. No amount can be drawn from the emergency reserve without the explicit and written approval of the SG.
 - 12.2.3. After the explicit and written approval of the SG, 80% of the voting members of full member LCs have to ratify the use of funds from the emergency reserve.
 - 12.2.4. Only LCs that have an equity of more than PKR 500,000 will be required to contribute to the reserve.
 - 12.2.5. 10% of Profit from each financial year will be added to the emergency reserve from both the MC and LC till it reaches the mark of PKR 1,000,000. No more money will be added to the reserve beyond that.

12.3. Research and Development Reserve: This reserve is for any special projects or internal organizational infrastructure developments that the voting members agree on that it requires spending.

12.3.1. Procedure for drawing funds

- 12.3.1.1. The following individuals can propose ideas for utilizing the RnD reserve:
 - 12.3.1.1.1. MC: May execute the mandate/project itself or delegate it to a project manager or LC.
 - 12.3.1.1.2. LC: May execute the mandate/project itself or pass it on to the MC.
- 12.3.1.2. Any above defined individual would have to present their idea for utilization of the RnD reserve at the national legislation.
- 12.3.1.3. If a feasibility study for the idea is not already done, the national plenary would pass a mandate to conduct a feasibility study outlining multiple options and timeline to execute the idea.
- 12.3.1.4. The feasibility study should include:
 - 12.3.1.4.1. At least 2 or more options/ways to execute the same idea.
 - 12.3.1.4.2. A detailed budget for each option.
 - 12.3.1.4.3. Timeline and milestones associated with the project.
 - 12.3.1.4.4. Date of delivery of first MVP (Minimum Viable Product) or prototype of the project.
- 12.3.1.5. The feasibility study would be presented at the next national legislation and the plenary could decide to discard the idea altogether or choose to finance one of the options.
 - 12.3.1.5.1. If the amount required is less than PKR 100,000, it would require a total 2/3rd votes of all voting members of the organization.
 - 12.3.1.5.2. If the amount required is more than PKR 100,000, it would require 80% votes of all voting members of the organization.
- 12.3.1.6. If one of the options has been ratified, the project manager would have to present the MVP (Minimum Viable Product) or prototype to the MC and the LCP Commission.
- 12.3.1.7. Based on how satisfied the MC and the LCP Commission is with the prototype, they may choose to either discard the project or decide to continue with it.
- 12.3.1.8. Based on a decided reporting structure, the project manager would be required to send in a progress report to the MC and the LCP Commission.
- 12.3.2. Only LCs that have an equity of more than PKR 500,000 will be required to contribute to the reserve.
- 12.3.3. 10% of the profit in a financial year from the MC and LCs will be added to the Research and Development Reserve.

13. Cash Management Policies

- 13.1. All Local Committees shall be required to keep no more than 100,000 PKR at any time as cash in hand.
- 13.2. All cash assets of the Local Committees' will be kept in the official AIESEC bank accounts.
- 13.3. The LC can submit a request to the MCVP Finance in case more cash in hand is required for any LC related expense.
- 13.4. Local Committees will be required to collect all exchange fees in the AIESEC bank accounts unless otherwise directed by the MCVP Finance. All LCs will be responsible for bank account reconciliation in the first week of every month.
- 13.5. LCVP Finance & LCP are responsible for managing the cash in hand. No other person in the LC shall be allowed to keep LC's cash in their possession unless otherwise agreed by taking MCVP Finance in loop.
- 13.6. Respective signatories of AIESEC bank accounts shall be responsible for the safekeeping of cheque books and ensuring that all counterfoils of cheques are filled in case any cheque is used.

14. Bank Account signatory policies & timeline

- 14.1. Upon the selection of EB elects by the LCPs, the process of changing signatories shall be initiated within one week.
- 14.2. The LCPs shall facilitate the MC in the process of appointing new signatories but the final discretion lies with the MCP & MCVP Finance for the appointment of new signatories.
- 14.3. Following are the minimum documents required for changing the signatories by the bank. The bank may require more documents based on their discretion over the matter and changing legal environment.
 - 14.3.1. BoG resolution for changing signatories
 - 14.3.2. Minutes of meeting for the meeting of appointment of BoGs
 - 14.3.3. Updated list of BoGs with signatures
 - 14.3.4. BoG resolution for changing signatories contact details (Applicable for Karachi)
- 14.4. Following is the process which is to be followed for changing the signatories:
 - 14.4.1. MCVP Finance will prepare the BoG resolution for requesting change of signatories.
 - 14.4.2. MCVP Finance will share the minutes of meeting which specifies the process & voting results of BoGs appointment
 - 14.4.3. Two BoGs will visit any branch of the bank for biometric verification and send it to the designated branches.
 - 14.4.4. The documents will be submitted to the banks after verification of BoGs within one week.

- 14.4.5. Signatories will be carrying their CNIC with them and visit the respective bank branch for getting done with the process of changing signatories.

15. AIESEC in Pakistan legal registration policies

- 15.1. AIESEC in Pakistan's legal registration will initiate as soon as AIESEC in Pakistan's external audit will be completed.
- 15.2. Following are the documents required for the renewal of legal registration:
 - 15.2.1. CNICs of Board of Governors
 - 15.2.2. Contact Details Sheet of Board of Governors
 - 15.2.3. Signed Sheet of Current & Previous Board of Governors
 - 15.2.4. Minutes of Meeting of the Annual General Meeting
 - 15.2.5. Annual General Meeting Election Process & Results Document
 - 15.2.6. Memorandum of AIESEC
 - 15.2.7. AIESEC Achievement Report
 - 15.2.8. External Audit Report
 - 15.2.9. Organization Letterhead with Official Stamp

16. Board of Governors Role

- 16.1. The Governing Body of the Organisation shall be called the Board of Governors. The ultimate executive authority of the organisation shall vest in the Board. The Board may set up committees or working groups consisting of one or more members and staff of the organisation as may be considered appropriate.
- 16.2. The Board of Governors shall be changed every year right after the MCP is done with the selection process of the MC.
- 16.3. The Board of Governors shall be ratified every year in a national legislation which will be either physical or called by the MCP in case of a virtual legislative meeting
- 16.4. The candidates for the Board of Governors positions shall be presented in the meeting and will be selected by a simple majority.
- 16.5. A Board of Governors shall have at least two MC members in order to facilitate the processes where Board of Governors are required on a short notice.

17. Financial Reporting

- 17.1. The LCs will be required to report their financial data to the MC every month as part of the GFB Survey defined in the membership criteria for LCs.
- 17.2. Every LC is to publish Quarterly Finance reports as required by the membership criteria for LCs (a reference to 2.1.2.3.1 of the National Compendium). The Quarterly Finance Report should at least include:
 - 14.2.1. Statement of Profit and Loss [Income Statement] (Optional format provided in the Annex)
 - 14.2.2. Statement of Financial Position [Balance Sheet] (Optional format provided in the Annex)
 - 14.2.3. Budget Comparison (Budgeted + Executed)

Financial Sustainability Ratios Report which includes reporting and explanation of:

- 14.2.4. LC Sustainability
- 14.2.5. Debt Ratio
- 14.2.6. Months of Cash Reserves
- 14.2.7. Liquidity Ratio
- 14.2.8. Aging of Receivables
- 14.2.9. [Optional] Breakdown of Revenues and Expenditures based on Product, Portfolio, and Project with explanations

Format in Annexure

- 17.3. The MC will be required to publish their quarterly financial statements.
- 17.4. The LCs will be required to update their exchange trackers of each month latest by the 1st of the upcoming month.

18. Penalties

- 18.1. In case of persistent non-compliance to the defined protocols in this document, the MCVF Finance may reserve the right to take the following actions while keeping the SG and the Finance Subcommittee Chair in loop:
 - 18.1.1. Issue a formal warning via email to the LCP and LCVP Finance over the violations made.
 - 18.1.2. Levy a mandate fine of up to PKR 5,000 on the LC
 - 18.1.3. Levy a fine as defined in this document.
 - 18.1.4. Freeze the assets of the LC.
 - 18.1.5. File an ethics case in case of financial misconduct.

ANNEXURE

Annex [Formats]

AIESEC in [LC Name]

Statement of Financial Position	
As of [Enter Date in which Financial Statement is created]	
Assets	
[Account Name]	PKR
Total Assets	
Liabilities	
[Account Name]	PKR
Total Liabilities	
Equity	
	PKR

AIESEC in [LC Name]	
Statement of Profit and Loss	
For the term [Start date of Quarter] - [End date of Quarter]	
Revenues	
[Account Name]	PKR
Total Revenues	
Expenditures	
[Account Name]	PKR
Total Expenditures	
Profit/Loss	PKR